

breakout. The median ignored outlier patterns where price took months to break out. Handles shorter than the median associated with better performing cups.

I also eyeballed the handle to make sure it formed in the upper half of the cup.

Cup rim. I look for the two cup rims to peak near the same price. Sometimes the handle was above the left cup's rim, and sometimes it remained below. I didn't want the pattern to look like an ascending or descending scallop, where the right side of the cup only reaches halfway up the left side.

Breakout direction. The breakout direction is upward, when price closes above the right rim or handle high (whichever is higher). Downward breakouts, where price closes below the bottom of the cup, invalidate the pattern.

Duration. I kept the cup duration to about 15 months or less.

[Figure 21.2](#) shows another good example of the cup-with-handle pattern on the daily scale. The cup gently rounds up and price climbs just beyond the left rim before pausing. Price drifts down in the handle, along with a down-trending volume pattern before the breakout. Then volume surges and price moves upward. Two days after the breakout, price moves marginally lower again and enters the region of the right cup rim. After a brief throwback, price is soon on its way again. Less than 2 months later, the stock tops out at 15.50 for a rise of 22%.